

Practice: Viability Experiments

Owlet Case Study

How to Test Pricing?

Total time: 10 minutes

After testing desirability, Owlet wants to learn more about the pricing of their product (viability). Imagine yourself in Owlet's shoes - what series of experiments with increasingly stronger evidence could you run for the same viability hypothesis?

Directions:

- 1. Watch the video snippet.
- 2. Update the Business Model Canvas with Owlet's latest iteration and add the cost building block.
- 3. Owlet's viability hypothesis is: We believe that parents want to rent the product, versus buy at a \$200 sales price.
- 4. **What series of experiments with increasingly stronger evidence could they run to test this hypothesis?**
- 5. Write down the experiments, metrics and success criteria in the workbook below the video. You can also download a [Test Card](#) for the design of your experiments.



VIABILITY EXPERIMENT #1	VIABILITY EXPERIMENT #2	VIABILITY EXPERIMENT #3
HYPOTHESIS We believe that parents want to rent the product, versus	HYPOTHESIS We believe that parents want to rent the product, versus	HYPOTHESIS We believe that parents want to rent the product, versus
EXPERIMENT To verify that, we will...	EXPERIMENT To verify that, we will...	EXPERIMENT To verify that, we will...
METRIC And measure...	METRIC And measure...	METRIC And measure...
CRITERIA We are right if...	CRITERIA We are right if...	CRITERIA We are right if...